

Purpose of Loan Application for NVIDIA Corporation

nvidia

Prepared on 2026-07-14T11:01:10

1. Introduction

NVIDIA Corporation (hereinafter referred to as 'the Company'), incorporated in 1993 and headquartered at 2788 San Tomas Expressway, Santa Clara, CA 95051, USA, is a global leader in accelerated computing, artificial intelligence (AI), and graphics processing units (GPUs). The Company serves a diverse clientele, including Fortune 500 enterprises, cloud service providers, and innovative startups, while maintaining robust relationships with key suppliers in the semiconductor and electronics manufacturing ecosystem.

This document outlines the purpose and intended utilization of the requested loan facility of \$500,000, aligned with the Company's strategic growth objectives and operational requirements for the fiscal year 2026-2027.

2. Purpose of the Loan

The requested loan facility of \$500,000 is intended to support the following key initiatives:

- **Expansion of AI Research and Development (R&D) Infrastructure**:** Enhancing computational capabilities to accelerate AI model training and deployment, ensuring leadership in generative AI and large language models.
- **Supply Chain Optimization**:** Strengthening relationships with critical suppliers such as Taiwan Semiconductor Manufacturing Company Limited (TSMC) and Samsung Electronics Co., Ltd. to secure advanced semiconductor nodes and mitigate supply chain risks.
- **Operational Liquidity**:** Ensuring seamless working capital management to support day-to-day operations, including payroll, vendor payments, and inventory procurement, given the Company's rapid growth trajectory.
- **Strategic Acquisitions**:** Evaluating targeted acquisitions of emerging technology startups specializing in AI, robotics, and edge computing to complement NVIDIA's existing portfolio and drive innovation.

3. Utilization Plan

The loan amount will be allocated as follows, with a focus on high-impact areas that align with the Company's long-term vision:

Allocation Category	Amount (\$)	Percentage of Total Loan
AI R&D Infrastructure	200,000	40%
Supply Chain Optimization	150,000	30%
Operational Liquidity	100,000	20%
Strategic Acquisitions	50,000	10%

4. Financial Justification

NVIDIA Corporation's financial performance underscores its capacity to service the requested loan facility. Key financial metrics for the fiscal year ending 2026 are as follows:

- ****Revenue**:** \$26,974 million, reflecting a 22% year-over-year growth driven by demand for AI, data center, and gaming solutions.

- **EBITDA**: \$10,260 million, demonstrating strong operational efficiency and profitability.
- **Net Worth**: \$28,750 million, highlighting the Company's robust balance sheet and financial stability.

The requested loan represents a conservative leverage ratio of less than 2% of the Company's net worth, ensuring minimal financial risk while enabling strategic investments. The projected return on investment (ROI) from the allocated funds is estimated at 18-22%, driven by revenue growth from AI-driven products and supply chain efficiencies.

5. Repayment Plan

The Company proposes a structured repayment plan for the loan facility, aligned with its cash flow projections and revenue cycles:

- **Term**: 36 months, with equal monthly installments of principal and interest.
- **Interest Rate**: Competitive rate based on prevailing market conditions and the Company's creditworthiness.
- **Collateral**: Unencumbered assets, including intellectual property and equipment, may be pledged as collateral to secure the loan, subject to lender requirements.
- **Early Repayment**: The Company reserves the right to prepay the loan without penalties, contingent on cash flow availability and strategic priorities.

6. Risk Assessment and Mitigation

While the loan facility is designed to support low-risk, high-reward initiatives, the Company acknowledges potential risks and has implemented mitigation strategies:

- **Market Risk**: Fluctuations in demand for AI and semiconductor products are mitigated by diversified revenue streams across gaming, data center, automotive, and professional visualization segments.
- **Supply Chain Risk**: Dependency on key suppliers such as TSMC and Samsung is managed through long-term contracts, dual-sourcing strategies, and inventory buffering.
- **Operational Risk**: The Company's robust governance framework, overseen by the Board of Directors (including Jensen Huang, Colette Kress, and Debora Shoquist), ensures compliance with regulatory standards and operational resilience.
- **Financial Risk**: Conservative leverage ratios and strong liquidity positions minimize exposure to financial distress.

7. Conclusion

The requested loan facility of \$500,000 is a strategic enabler for NVIDIA Corporation's growth objectives, supporting critical investments in AI R&D, supply chain resilience, and operational liquidity. With a proven track record of financial performance, a diversified customer base (including Dell Technologies, Microsoft, and Tesla), and a robust governance structure, the Company is well-positioned to service the loan while delivering long-term value to stakeholders.

This document, prepared in conjunction with the Company's financial statements, tax returns, and KYC documentation, provides a comprehensive overview of the loan's purpose and utilization plan. NVIDIA Corporation remains committed to transparency, compliance, and responsible financial management.

8. Certification

This document is certified as accurate and complete by the undersigned authorized representatives of NVIDIA Corporation.

****Authorized Signatory****

Jensen Huang

President and CEO, NVIDIA Corporation

Date: July 14, 2026